

warehouse full of vats of salad oil. It later found that the vats contained mostly sea water and its shady borrower was bankrupt. American Express announced the \$60 million loss, and its stock price was instantly cut in half. At the time, with a total market capitalization of about \$150 million, the \$60 million was a huge hit to AmEx's fledgling balance sheet.

Mr. Buffett analyzed the situation carefully and concluded that, as long as the trust associated with American Express travelers' checks and charge cards was unaffected, the company's intrinsic value was significantly higher than the current price at which it was being offered. Seeing virtually no downside and a massive upside, he placed the largest bet he's ever placed. He effectively bet 40 percent of his net worth on a scandal-ridden business making negative headlines daily. What were the odds that this bet offered? If we knew the odds, we could apply the Kelly Formula and see if the bet made sense.

I don't believe that question has ever been answered directly by Mr. Buffett, but there are some clues in his letters to partners from 1964 to 1967:

We might invest up to 40% of our net worth in a single security under conditions coupling an extremely high probability that our facts and reasoning are correct with a very low probability that anything could change the underlying value of the investment.[10](#)

We are obviously only going to go to 40% in very rare situations—this rarity, of course, is what makes it necessary that we concentrate so heavily, when we see such an opportunity. We probably have had only five or six situations in the nine-year history of the partnerships where we have exceeded 25%. Any such situations are going to have to promise very significant superior performance. . . . They are also going to have to possess such superior qualitative and/or quantitative factors that the chance of serious permanent loss is minimal.... In selecting the limit to which I will go in any one investment, I attempt to reduce to a tiny figure the probability that the single investment can produce a result for our portfolio that would be more than 10 percentage points poorer than the Dow.[11](#)